

National Income Made Super Easy

Imagine a Big Country = One Giant Family

Think of a country like one huge family. Every person in this family works, makes things, provides services, and earns money 💰.

How much money did the whole family earn in one year? That total earning is National Income.

★ Exam Definition:

National Income = Total income earned by all people of a country in one year from producing goods and services.

Example (Very Easy)

Imagine a small country with only 3 people:

Person	Work / Occupation	Income
Riya	Teacher	₹1,00,000
Aman	Farmer	₹80,000
Sara	Doctor	₹1,20,000
TOTAL NATIONAL INCOME		₹3,00,000

Why Do We Calculate It?

- Is the country getting richer? 
- Are people earning more?
- Compare progress with other countries 

Key Terms to Remember

1. GDP (Gross Domestic Product)

Production happening inside the country borders. (Even if a foreign company makes it here).

2. GNP (Gross National Product)

Income earned by citizens anywhere in the world.

$$\text{GNP} = \text{GDP} + \text{Income from abroad} - \text{Income sent abroad}$$

3. NNP (Net National Product)

Subtract the "wear & tear" of machines (Depreciation).

$$\text{NNP} = \text{GNP} - \text{Depreciation}$$

**Note: NNP at Factor Cost = National Income (Exam Tip ★)*

Three Ways to Calculate (The Pizza Logic)

Think of one pizza viewed in 3 ways:

1. **Production Method:** "What was made?" (All goods & services)
2. **Income Method:** "Who earned?" (Add wages + rent + interest + profit)
3. **Expenditure Method:** "Who spent?" (Consumption + Investment + Govt + Net Exports)

Super Short Memory Trick

👉 Country earns = **National Income**

👉 Inside country = **GDP**

👉 Citizens' income = **GNP**

👉 After depreciation = **NNP**